

# A surge in corporate capex is coming but don't expect it to last

- Following a period of severe underperformance, we expect German business investment to stabilise this year and rise by 2% in 2027 and 4% in 2028, twice the capex growth seen in the rest of the Eurozone.
- Surging defence and infrastructure demand, an accelerated energy transition, and AI-led demand growth for electricity production and grid technology are all supportive factors through 2026-2027. Moreover, the headwinds have become less severe and the demand recovery more broad-based.
- Leading indicators support our forecast of near-term softness as the repercussions from the US-Israel conflict with Iran continue to unfold. Tight supply in the capital goods sector itself will also weigh on German business investment this year. But momentum should build towards 2027 as firms ramp up their capex to tackle the mounting backlog of unfilled orders.
- We don't think that this marks a lasting return to Germany's past corporate investment strength. The surge is likely to be relatively narrow and temporary, largely driven by domestic and regional factors. 'Slowbalisation' and China's growing dominance will constrain the longer-term recovery, as will the German government's lacklustre track record in following up ambitious fiscal easing with structural reform.

The German economy has suffered from a series of large shocks in recent years: the pandemic, the 2022 energy crisis, the US tariff war, and the emergence of China as a [key competitor](#). The lacklustre response from policymakers reinforced the challenges. As a result, German business investment last year fell 9% below pre-pandemic peaks, the worst performance among G7 nations. But we think a turnaround is finally approaching and that it will lead to a period of German business investment outpacing the rest of the Eurozone.

**Chart 1: Capex demand eased as the impact of the war unfolded**

## Germany: Domestic capital goods orders and business equipment investment

Real, % y/y, 3M avg. for factory orders, \*3M shifted forward, \*\*excl. automotive and most defence exposed sectors



Sources: Oxford Economics, Haver Analytics

## US-Israel conflict with Iran pauses rebound in business investment

In the near term, risks are mildly to the downside for our view of a stabilisation in business investment this year, following last year's 1.4% contraction and the 4% plunge in 2024. Hard data, pre-dating the US-Israel war with Iran, had pointed to an improving pipeline for corporate capex. Excluding the distorting impact of surging [government defence orders](#) and products with very long lead times, such as ships, orders have been up around 4% y/y, which tends to feed similarly sized investment gains.

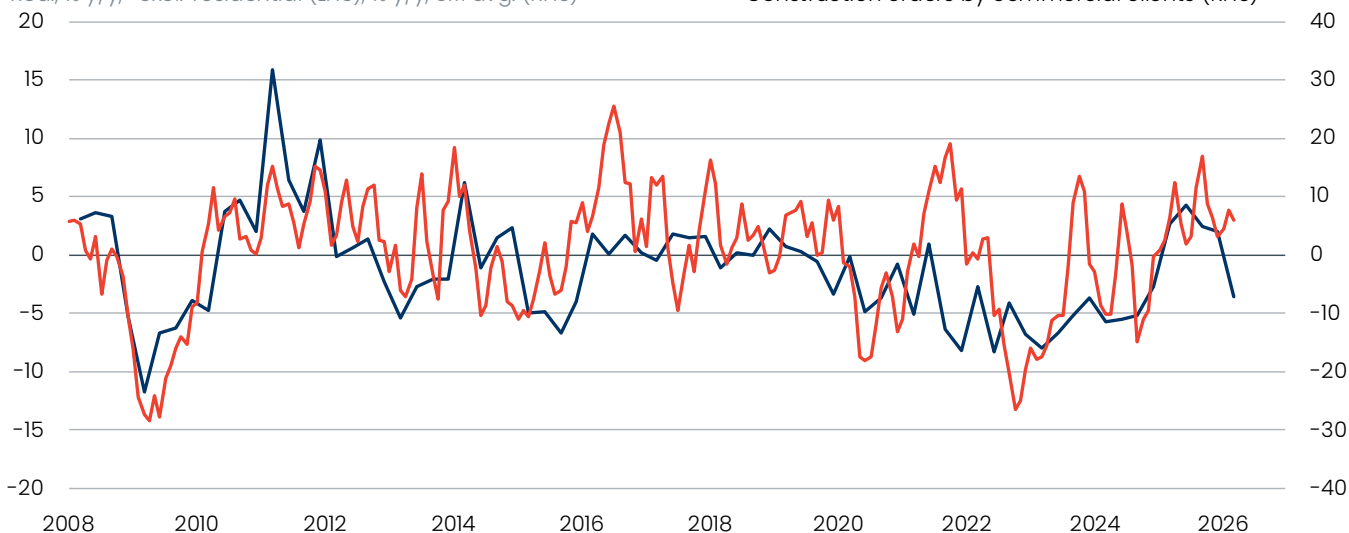
However, more recent data show a clear setback, with our measure of core orders turning contractionary again ([Chart 1](#)). Surveys suggest April data may overstate the weakness, and the recent bounce in orders should still support capex as it typically takes some time for these orders to be fulfilled. But it looks unlikely that this will be enough to drive a significant gain in this year's equipment investment.

In contrast, business construction investment – a smaller segment – looks well supported in the near term. Construction orders were up 6% y/y in Q1, suggesting Q1's drop in investment should be fleeting and was likely due to [adverse weather](#) ([Chart 2](#)). This would extend the recent strength after last year's 3% rise, the largest in 14 years. We lack detailed data, but we suspect this reflects a combination of factors, such as easing financial conditions in the wake of ECB rate cuts, investment related to the energy transition and defence capex, and the early stages of the renovation of Germany's train system. Meanwhile, there's little reason to expect the stable uptrend in intellectual property investment to end abruptly, given that firms need to heavily invest in R&D, against the backdrop of the various global challenges.

**Chart 2: Business construction investment should resume after last year's growth spurt**

### Germany: Business construction investment

Real, % y/y, \*excl. residential (LHS), % y/y, 3M avg. (RHS)



Sources: Oxford Economics, Haver Analytics

## Defence and domestic infrastructure spending surges require a capacity build-up

Several factors argue for a positive investment outlook in Germany if and when the energy price surge recedes, largely mirroring the ones we've identified for the [Eurozone](#) as a whole. However, the factors tend to be more pronounced for Germany and are generally of an acyclical nature, sheltering capex from the energy headwinds.

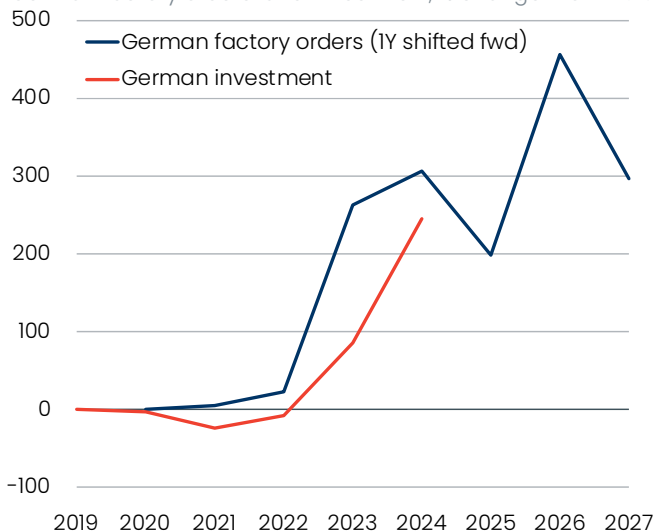
One key differentiator is the outsized boost that [Europe's rearmament](#) is giving German industry, a sector that has driven much of the weakness in German business investment in recent years. Germany's €400bn ramp-up in defence spending is by far the largest within Europe in absolute terms. Domestic procurement is also increasingly tilted to domestic producers, with some [estimates](#) showing the share rising to over 60% last year from around 30% in 2020. Moreover, the German defence sector is also among the largest in Europe, so it also benefits strongly from soaring foreign demand. Official data to track the economic impact are limited, but factory orders for one defence sub-sector in Germany were up over 400% last year from 2019, while production had only about doubled, suggesting that the sector's capex will need to continue rising sharply to tackle the developing backlog of unfilled orders ([Chart 3](#)). The latest reading puts backlogs at six years' worth of production at current capacity.

The boost to activity in other major Eurozone economies with large defence sectors looks much weaker, with Italy up around 60% from 2019 last year and France a meagre 4%. This most likely understates reality, given French industry's strength in areas that official production data don't fully capture, such as military aerospace products. But this shouldn't change the big picture of German outperformance.

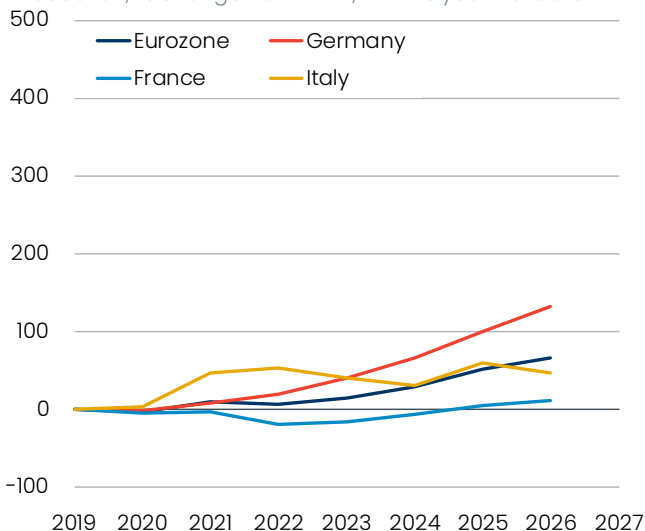
**Chart 3: The German weapons industry will need to ramp up capex further to meet the demand surge**

#### Eurozone: Weapons and ammunition sector- production, orders and investment

German factory orders and investment, % change from 2019

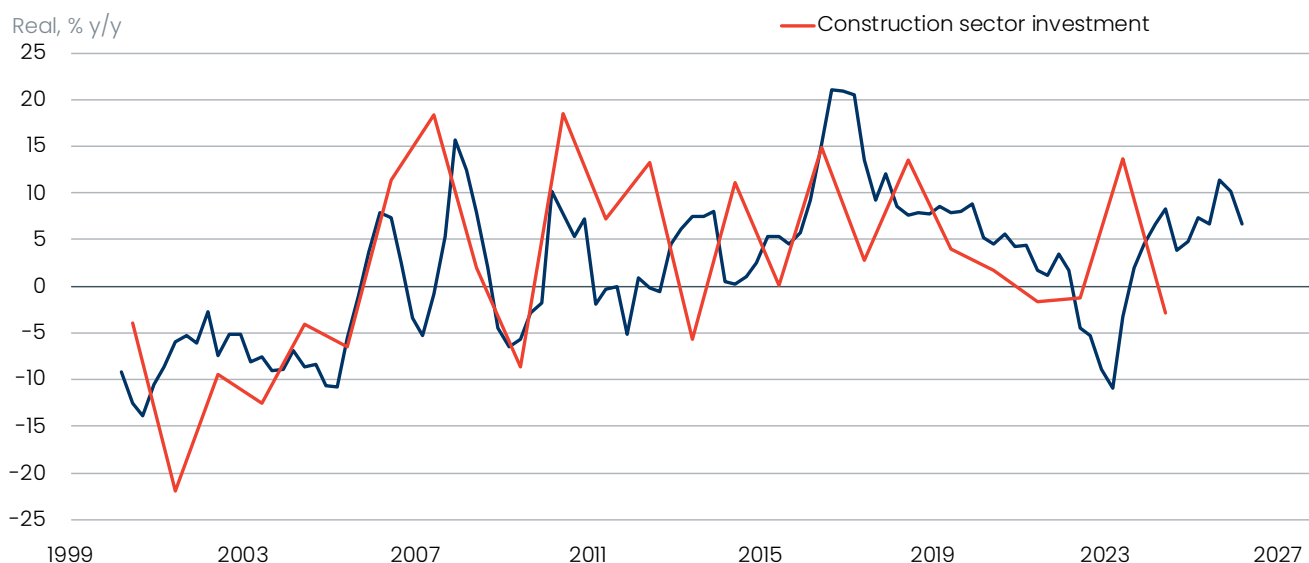


Production, % change from 2019, 2026 is year-to-date



Sources: Oxford Economics, Haver Analytics

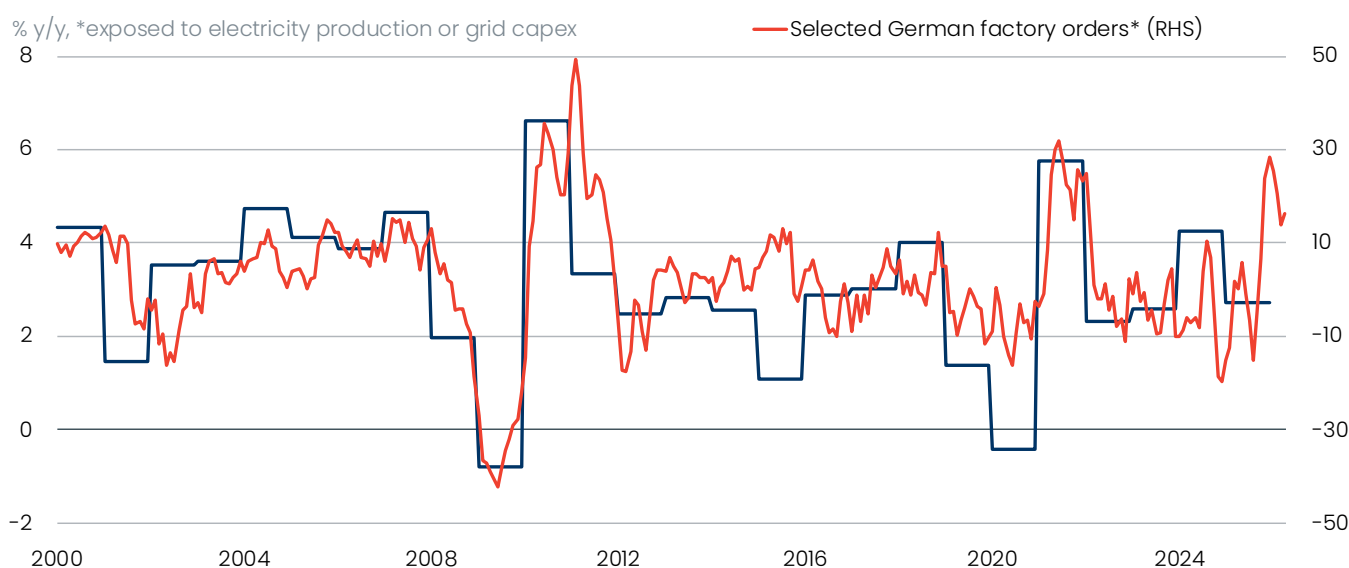
The second factor is also heavily driven by Germany's current fiscal activism. The government is ramping up infrastructure spending using a €500bn off-budget fund. This has already contributed to a rise in construction orders, which we track monthly in our [fiscal chartbook](#) for Germany, and lifted capacity utilisation to a two-year high in the most infrastructure-exposed sub-sector – civil engineering. Since many firms are facing capacity constraints, we expect only a delayed impact on activity. And meeting the rising stock of unfilled orders will require a ramp-up in investment ([Chart 4](#)). Backlogs have been growing by as much as 10% y/y in recent quarters on broad-based gains. Moreover, the share of firms citing labour or material and equipment shortages has been growing.

**Chart 4: Broad-based uptrend in unfilled construction orders should prop up the sector's capex****Germany: Construction sector investment and backlogs**

Sources: Oxford Economics, Haver Analytics

**Energy transition and global AI-driven electricity demand boom play to German industry's strength**

Another tailwind for German industry is the global surge in electricity demand on the back of the AI and datacentre boom, as well as the need to upgrade electricity grids to cope with the energy transitions domestically and abroad. Germany has a relatively strong standing in areas like gas turbines and grid-related technology. The extent of the demand surge and the urgency with which US clients will want new turbines also likely means that fast delivery will be more important than price and competitiveness versus, for example, China.

**Chart 5: The global AI-driven surge in electricity demand and domestic policy benefits German industry****Germany: Factory orders and global electricity demand**

Sources: Oxford Economics, Haver Analytics, OWID

Over the past six months or so, German factory orders in related areas have grown by as much as 30% y/y, and were still up by 17% y/y in April ([Chart 4](#)). The demand surge has been broad-based across Germany, the Eurozone, and non-Eurozone countries. This has fed a sharp uptrend in backlogs in these sectors, as they typically have long lead times and not much spare capacity. So a marked rise in investment by these sectors also looks probable.

Domestically, there are two key drivers. First, the previous and current governments have made progress in accelerating the approval of key grid upgrades and extensions. This supports the investment outlook for the affected manufacturers of grid tech, but more importantly, it also supports capex in the energy sector. The grid construction is [planned](#) to accelerate substantially next year, and especially in 2028.

Additional impetus should come from the government's recent call for the construction of power stations to support its grid strategy – 12GW in the first stage, partially supported by public subsidies. That probably equals some 15–20 power stations, with the associated investment easily exceeding €10bn. This, too, should lift capex in the energy sector, and also in the relevant manufacturing sectors.

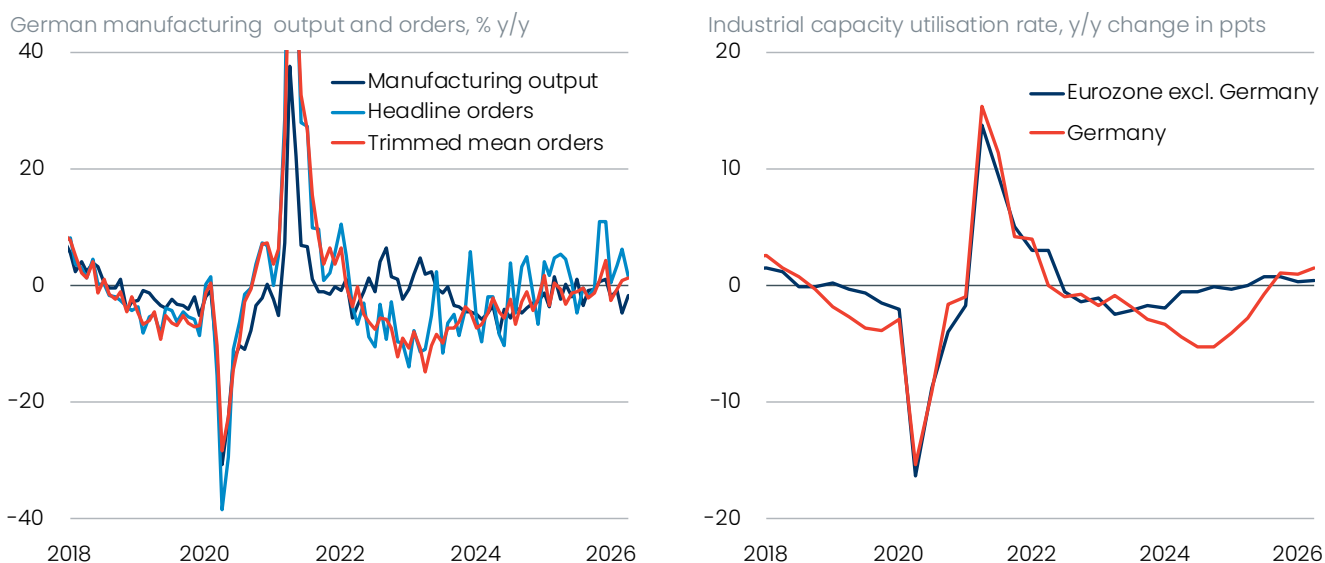
### Weakening headwinds, a widening recovery, and ageing capital stock also underpin the recovery

The above factors are significant contributors to the capex recovery, but on their own, they'd be too weak to arrest or reverse the broad and marked downtrend in business investment of the past few years. However, there are signs that a broadening, although modest, recovery is underway in the sectors that are most responsible for the weak business investment, namely manufacturing and sectors tied to the industrial cycle, such as logistics. We expect German industrial production to grow by nearly 3% in the next two years, 0.5ppts above the Eurozone average.

For instance, manufacturing orders have returned to growth, even excluding some of the very large gains from the defence surge, for example. Nearly half of the 125 manufacturing sectors have seen order gains in recent months, above the historical average and the highest share since the Ukraine war broke out. Meanwhile, capacity utilisation has been on a modest uptrend for the past year ([Chart 6](#)). And backlogs of unfilled orders have been rising in the majority of industrial sectors, not just those most directly exposed to defence spending.

Chart 6: Demand recovery is broadening and lifting capacity utilisation

#### Eurozone: Industrial capacity utilisation, output and factory orders



Sources: Oxford Economics, Haver Analytics

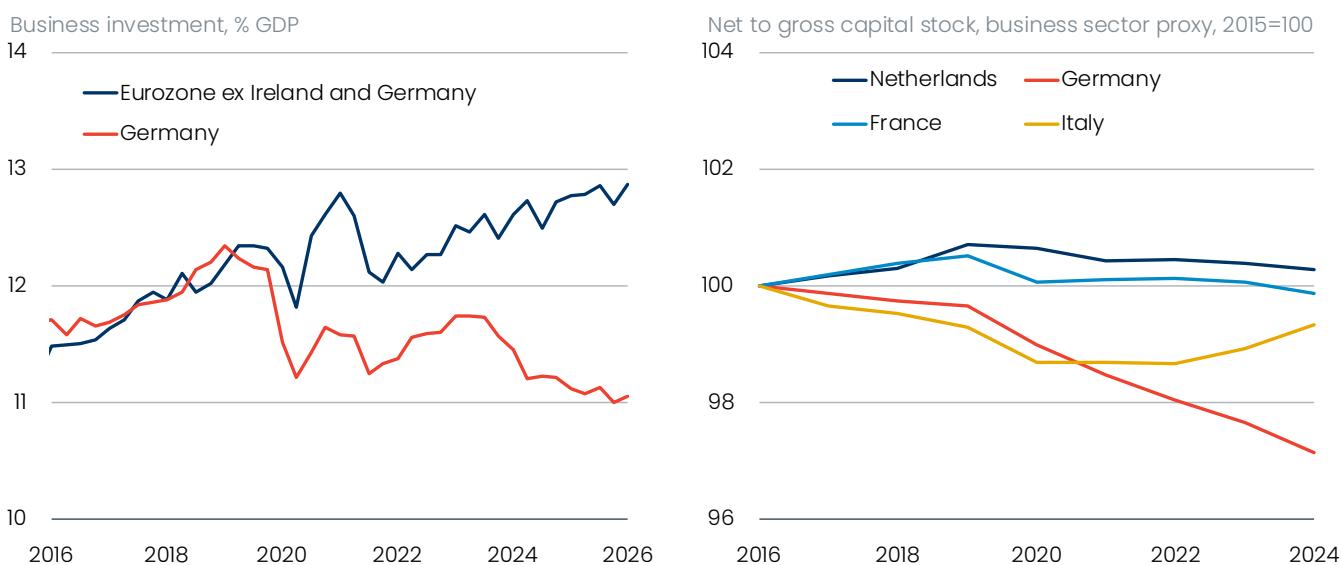
In part, this reflects the easing of past headwinds. Germany has lost a lot of global market share in recent years as its competitiveness in key export sectors, such as automotive, has been obliterated by Chinese gains and structural increases in energy costs, hitting energy-intensive sectors hard. However, that slide in market share has slowed materially in recent months and has nearly halted. This likely reflects that sectoral demand has adjusted to a new lower normal, which also will have had an impact on sectoral capex, with the capital stock needing to be adjusted downwards.

Supply chains adjusting to the decline in demand from past major clients and pivoting to meet demand in growing and emerging sectors will be the other contributor to the broadening recovery. Take the production of explosives, which has more than doubled since 2022 and is helping to offset the weakness in other parts of the chemical industry.

All this suggests that the severe underperformance of German business investment in recent years should ease and partially reverse. We see a chance that investment may even surprise to the upside. The reason is that many firms have likely not only skipped investment to expand capacity but have also underinvested in their existing capital stock, given their weak profitability, the broad-based demand weakness, and the prevailing uncertainty. This means the capital stock of German corporates is somewhat antiquated and leaves scope for catch-up investment ([Chart 7](#)).

**Chart 7: German business investment has decoupled from the rest of the region**

#### Eurozone: Business investment and modernity of the capital stock



Sources: Oxford Economics, Haver Analytics

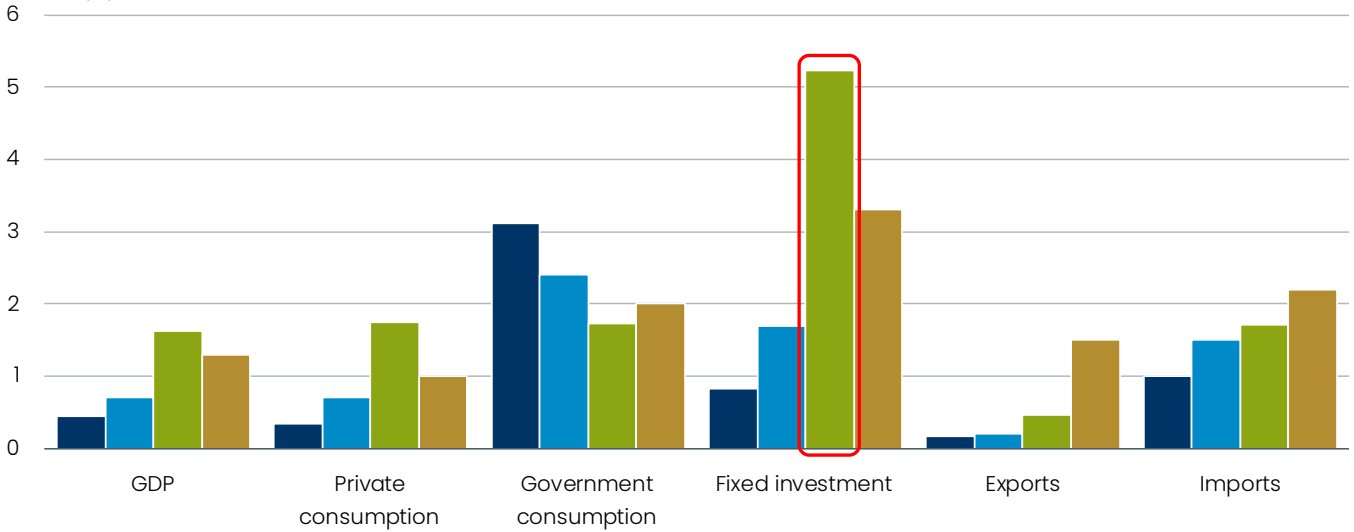
#### Capex rebound underpins our above-consensus growth forecast for 2027, but don't get used to it

We've long expected German GDP growth to disappoint this year as supply bottlenecks delay part of the large fiscal stimulus the government is trying to deliver. However, at the same time, we've been optimistic that once firms had enough clarity on the extent and focus of the spending spree, they'd start to invest to meet that surge in government demand. This kept our forecast above consensus for 2027 ([Chart 8](#)), despite the forecast changes that US tariffs and the energy price surge have caused.

Chart 8: We're more optimistic than consensus on a capex recovery

## Germany: GDP forecast

Real, % y/y



Sources: Oxford Economics, Haver Analytics, Focus Economics

However, we don't expect the next two years of German business investment outperforming the rest of the region to mark the start of a new trend. It's more likely to be a temporary surge driven by large gains in a few sectors heavily exposed to temporary demand booms, such as defence, and global as well as regional infrastructure investment. Beyond that, we're unconvinced that government policy will manage to boost competitiveness sufficiently to permanently arrest the drop in Germany's global trade share. Moreover, domestic demand fundamentals are relatively weak, not least given demographic trends.